1. A review and synthesis of downsizing research: the dilemma endures

Alyson P. House and Rocki-Lee DeWitt

OVERVIEW

In the 15 years since Datta and his colleagues asserted that "downsizing can legitimately be viewed as one of the most far-reaching and significant management issues of the current era" (Datta et al., 2010: 282), downsizing still occurs across multiple sectors and countries, in businesses large and small, and its layoffs affect thousands of employees (Chen, 2024). Downsizing is an enduring dilemma because it is not related to sustained, improved performance, and it is hard to know what performance would have been without downsizing or its relationship to other business initiatives (Steel & House, 2024). As such, downsizing is an enduring practice that requires ongoing and disciplined scholarly inquiry that not only builds upon prior knowledge but also accounts for the complexity of enterprises and the evolving landscape of competition, commerce, and employment.

The purpose of this chapter is to review and present a summary and analysis of the past 15 years of downsizing research, the time elapsed since Datta et al. (2010) published their comprehensive review of the first 25 years of research in this field. The scope of their review was bounded by downsizing's effect on firm performance or the workplace attitudes and behavioral intentions of those who remained employed within the firm. The aim of our review is to gain a more complete and contextualized perspective of downsizing. We incorporated the two dominant themes of prior inquiry, individual experiences and outcomes, and organizational financial motives and outcomes, but expanded our scope to include downsizing's direct impacts upon the individuals who lose employment and any indirect spillover effects for them and others. Thus, we offer a more comprehensive perspective on the interplay between downsizing's features and the context in which downsizing decisions are made, how they are implemented, and the consequences of their use. As such, we draw

attention to how the classic downsizing dilemma of "to lay off or not to lay off" is situated in a system of influences and effects.

Our method involved the collection, reading, classification, and analysis of a body of peer-reviewed articles. We sought papers that captured the context within which downsizing occurs, within-firm downsizing processes and outcomes, downsizing's direct effects upon individuals, and its indirect spillover effects for others. The first author sourced peer-reviewed literature across multiple databases, compared the new list to the 91 articles contained in the earlier literature review (Datta et al., 2010) as a reliability check, and then extracted only those papers that had been published since 2008, the cutoff used in the 2010 paper. Redundant appearances and an initial assessment of publication content against the centrality of downsizing to the sourced paper resulted in a total of 329 articles. The 329 articles were published in a total of 167 journals, demonstrating the breadth of this field of inquiry, the top five of which were the *International Journal of Human Resource Management*, *Labor Economics*, *Journal of Business Ethics*, *Journal of Managerial Psychology*, and *Journal of Management Studies*. The prevalence of publications was also relatively consistent over time, averaging 25 per year, with no fewer than 18 in any given year. The author team then reviewed and classified each of the papers independently, discussing and reconciling any differences in classification.

To provide perspective on our more detailed coverage of the findings, we begin with a visual summary of the system of studied relationships evident in extant research (Figure 1.1). The larger the size of the arrows between components in this system, the greater the incidence of research on those relationships. Within the 329 articles, 71% examined downsizing outcomes either at the individual employee level, firm level, or those outside organizational boundaries; 19% examined downsizing implementation processes, characteristics, or decision-making; and 22% examined precursors or contextual antecedents of downsizing. While 97% of the articles were empirical, only 5% (19 articles) had multiple areas of focus within the same publication, which primarily included examinations of individual or firm outcomes in the context of downsizing implementation processes. Specific details on the literature review search method, search terms, coding for study quality, and inclusion/exclusion criteria (Rousseau, 2024) can be found in the Appendix of this chapter.

The remainder of this chapter proceeds as follows. We begin with research pertaining to downsizing's impact on individuals. To classify and summarize this literature, we modify the categories commonly used in individual-level downsizing research. First, we introduce and explain our use of *leavers* and *stayers* rather than the terms *victims* and *survivors*. Second, we acknowledge and incorporate the case of *at-risk* employees – who are neither leavers nor stayers due to the temporality of downsizing. We summarize individual outcomes (dependent variables) that have been studied, which include those for